
Condo Clear Services | Strata Tip of the Week

1 message

Condo Clear Services Inc. <info@condoclear.ca>
Reply-To: "Condo Clear Services Inc." <info@condoclear.ca>
To: Andrew Plank <info@andrewplank.com>

5 July 2023 at 07:59

Hi Andrew,

Strata Tip of the Week - The Difference Between Deprecation Reports and Building Envelope Condition Assessment (BECA) Reports

While both **Depreciation Reports** (also known as Reserve Fund Studies) and **Building Envelope Condition Assessment Reports** (often abbreviated as "BECA") can provide valuable information when *evaluating a strata corporation*, the primary differences between the two lie in their focus and scope of evaluation.

Before we review the general differences between the two types of reports, it's important to note that:

A. While *strata corporations are legally required to obtain a new depreciation report every 3 years*, unless waived by a $\frac{3}{4}$ vote of the owners at an annual or special general meeting, **there is no legal requirement for stratas to obtain a BECA**.

B. While a **BECA** is meant to provide a **thorough analysis** of the condition of building envelope components, as well as cost estimates for repair and/or replacement of these, a **depreciation report** is primarily a financial planning tool based on a **limited evaluation**. In other words, the depreciation report doesn't usually provide a **comprehensive review** of the condition of the building, and the estimates are primarily based on the average lifespans of various components.

C. Lastly, just because a strata has obtained a **BECA**, **it cannot ignore** its legal requirement to either obtain or waive the requirement to obtain a **depreciation report**.

Many strata corporations *will nonetheless often obtain BECA reports*, in addition to depreciation reports, in order to more *thoroughly evaluate the components that make up the building envelope*.

So, here are some of the general differences between the two types of reports:

1. Depreciation Reports:

- Are a requirement under the Strata Property Act.
- Focus on long-term financial planning and sustainability of the strata corporation.

- Assess the expected lifespan and projected costs of major building components and systems that make up the common property and common assets.
- Cover a wide range of components, including the building envelope, plumbing, electrical systems, elevators, flooring, building membrane, landscaping and more.
- Estimate future repair, maintenance, and replacement costs over a 30 year timeframe.
- Aim to assist the strata corporations in planning for adequate funding through its contingency reserve fund.
- Must include, among other items, a physical component inventory and evaluation, as well as a financial analysis and forecasting section.

2. Building Envelope Condition Assessment (BECA) Reports:

- Are most often obtained by strata corporations on an as-needed basis.
- Specifically focus on evaluating the condition and performance of the building envelope, which is the outer shell of a building that separates the interior and exterior environments.
- Concentrate on components such as walls, roofs, windows, doors, cladding and waterproofing systems.
- Identify existing defects, deficiencies, or deterioration that may affect the integrity, energy efficiency and water tightness of the building.
- Often provide recommendations and cost estimates for repairs, maintenance, or upgrades related to the building envelope.

When assisting consumers in evaluating a strata corporation, it's important to **obtain and review copies of both the latest depreciation report and building envelope condition assessment report**, if available.

That's it for this week. If you have any suggestions for other topics you'd like us to cover, please let us know at info@condoclear.ca.

Disclaimer: The information provided is for general purposes only. It is not intended to provide legal advice or opinions of any kind. No one should act, or refrain from acting, based solely upon the materials provided, any hypertext links or other general information without first seeking appropriate legal or other professional advice.

A little about us:

1. We are a fully licensed brokerage under the BCFSa, and carry Errors and Omissions (E&O) insurance.
2. We've been in business since 2017 and have completed over 2,200 strata reviews to date province wide.
3. Our Review Advisors have firsthand knowledge and experience. They've all been practicing strata managers.

A little about our services:

FAQs: [How do Condo Clear's services work?](#)

Pricing: [How much do Condo Clear's services cost?](#)

Here is a [Sample Buyer's Review](#) that you can look through. If you have some time, we would love to setup a quick chat, to talk more about our review process and go over any specific needs you might have.

Want to schedule a *FREE* webinar for your team? [Contact us today!](#)

What are others saying? Check out our [Google Reviews](#)

Visit us today.



[View this email in your browser](#)



CONDO CLEAR SERVICES INC.

Copyright (C) 2023 Condo Clear Services Inc.. All rights reserved.

Want to change how you receive these emails?
You can [update your preferences](#) or [unsubscribe](#)

Grow your business with  mailchimp